

This may spur people into accepting, at the last minute, inordinate amounts of risk in their portfolios to make up for lost time—a tendency that actually places one’s retirement security at increased risk. Advisors should counsel their clients to pay themselves first, setting aside consistent quantities of money to ensure their comfort later in life, especially if retirement is still a long way off. If an advisor encounters investors who are past age 60 and have not saved enough for retirement, then a more difficult situation emerges. A careful balance must be struck between saving, investing, and risk taking in order to increase the pot of money for retirement. Often, these clients might benefit from examining additional options, such as part-time work (cycling in and out of retirement) or cutting back on consumption. In either case, emphasizing paying oneself first—assigning a sufficient level of priority to future rather than present-day consumption—is critical.

*Lack of planning.* Self-control bias may cause investors to not plan adequately for retirement. Studies have shown that people who do not plan for retirement are much less likely not to retire securely than those who do plan. People who do not plan for retirement are also less likely to invest in equity securities. Advisors must emphasize that investing without planning is like building without a blueprint. Planning is the absolute key to attaining long-term financial goals. Furthermore, plans need to be written down so that they can be reviewed on a regular basis. Without planning, investors may not be apt to invest in equities, potentially causing a problem with keeping up with inflation. In sum, people don’t plan to fail—they simply fail to plan.

*Portfolio allocation.* Self-control bias can cause asset allocation imbalance problems. Investors subject to this bias may prefer income-producing assets, due to a “spend today” mentality. This behavior can be counterproductive to attaining long-term financial goals because an excess of income-producing assets can prevent a portfolio from keeping up with inflation. Self-control bias can also cause people to unduly favor certain asset classes, such as equities over bonds, due to an inability to reign in impulses toward risk. Advisors must emphasize the importance of adhering to a planned asset allocation. There is a litany of information on the benefits of asset allocation, which can be persuasively cited for a client’s benefit. Whether they prefer bonds or equities, clients exhibiting a lack of self-control need to be counseled on maintaining properly balanced portfolios so that they can attain their long-term financial goals.